LEGAL ENTITY STRUCTURING PROPOSAL

TrueSight DAO — Prepared for SVH Capital Meeting, June 26

The Problem

No DAO legal wrapper — No member liability shield, no clear answer for "what entity do TDG holders govern?"

Personal bank account — Gary's personal account is the bottleneck. More volume = more personal risk.

The Solution

Form a Wyoming UNA via OtoCo this week. Cost: ~$50 gas.

The UNA is a legal entity with liability protection for members, a clear answer for TDG holders ("you govern the UNA"), and no bank account needed — TrueTech Inc handles all money flows.

If we later hit 100+ members by mutual consent, we can elect to form a DUNA. But the UNA works today.

The Structure

Wyoming UNA (nonprofit, DAO legal wrapper) — formed this week for ~$50

No bank account needed — TrueTech Inc handles all money flows

TDG holders govern the UNA (pseudonymous — wallet only)

Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

Own cap table and shareholders (Gary)

Own bank account — ALL money flows: commercial, partner contributions, buybacks

May buy back TDG at NAV using operating cash reserves (discretionary)

Buyback reserve formula published on truesight.me

Brazilian LTDA (CNPJ) = export facility (eventual future goal)

Key decisions (already resolved)

Decision	What
TrueTech Inc	Independent entity, not a DUNA subsidiary. Avoids UBIT.
Bank accounts	One account — TrueTech Inc handles everything. UNA doesn't need its own.
TDG buyback	TrueTech buys at NAV from operating cash. Formula on truesight.me. Discretionary.
Wise	Primary banking. $0 to open. Handles transfers + PIX. Venmo/Zelle/Western Union manual.
Withdrawal flow	DApp request → TrueTech issues cash → TDG deducted → burned

Capital Channels

Channel 1: Contributors (Time / Labor)

Who: Nora, Kirsten, Matheus, developers, community members

Step	What Happens
Inject	Time, labor, expertise, or in-kind resources
Get	TDG voting rights in the UNA
Exit	DApp withdrawal → TrueTech buys at NAV → TDG burned

Constraint: Buyback discretionary, subject to reserves per formula on truesight.me.

Channel 2: Shipment Financiers (AGL Contracts)

Who: Individuals or entities financing cacao shipments

Step	What Happens
Inject	Working capital for cacao shipment
Get	Repayment + fee from sale proceeds
Exit	Contract ends when shipment sells

Counterparty: TrueTech Inc. Self-liquidating — no retained asset base.

Note for counsel: This pattern may raise a separate securities question under Reves (promissory note / investment contract). Not covered by the TDG Howey analysis below.

Channel 3: Impact Funds / Family Offices

Who: Foundations, family offices, HNWIs funding tree planting

Step	What Happens
Inject	Grant or donation to the UNA
Get	Impact reports, verified tree-planting data, naming rights
Exit	No financial exit needed. If 501(c)(3) obtained, converts to tax-deductible.

Important: Carbon credit rights are NOT granted to donors. Credits have fair market value and would reduce deductibility. Credits go to commercial funders only.

NAV reality check: $4,126 ÷ 2,306,000 TDG = **$0.0018/TDG**. Buying TDG at $1 = 555x NAV — irrational. Impact funds grant for mission outcomes, not TDG.

Activates when: A genuine donation-type funder appears. UNA gets its own bank account then.

Channel 4: Venture Capital (Future Optionality)

Who: VCs funding technology development

Step	What Happens
Inject	Capital for DApp, oracle, QR tracking, carbon credit system
Get	Equity or revenue share in TrueTech Inc (not the UNA)

Exit	Sell equity stake or secondary sale

Why not now: TrueTech Inc has no retained asset base — pass-through trading company. If a licensing model emerges, TrueTech Inc would have recurring revenue + IP → VC-investable.

Channel 5: Technology Licensors (Future Optionality)

Who: SMEs, cooperatives, other DAOs wanting the infrastructure

Step	What Happens
Inject	Licensing fee to TrueTech Inc
Get	Self-hosted instance — their data stays with them
Exit	Subscription ends, they keep their data

Why this matters: Bilal (Butterfly Effect Club) wants Sophia for his investment fund (team of 5). Liz wants Sophia for deal flow and Edgar's protocol for trading. Both want their own instance.

What We're Doing This Week

Action	Cost	Timeline
Form UNA via OtoCo (2 wallets)	~$50 gas	1 day
Open TrueTech Inc Wise Business	$0	1-2 days

Total: ~$50. We have ~$4,126 in the Main Ledger.

The One Question for SVH Capital

"We're forming a Wyoming UNA via OtoCo this week. TDG is issued to contributors for work and grants governance rights. An independent affiliated C-corp (TrueTech Inc) may, at its discretion, buy back TDG at net asset value (total DAO assets ÷ total TDG issued) from its own operating cash. Does TDG constitute a security under Howey?"

Also relevant: The AGL shipment-financing pattern (Channel 2) — individuals financing shipments for a return from sale proceeds — may raise a separate securities question under Reves. A brief opinion on that path would be helpful but is not blocking.

What We're NOT Doing (Yet)

Thing	Why Not	When
Impact fund channel	No committed backend	When a donation-type funder appears
UNA bank account	TrueTech handles all flows	Only if impact fund capital requires it
501(c)(3) application	$2K-10K	6-12 months
Brazilian CNPJ ownership	$1K-3K + counsel	Future
DUNA formation	Need 100+ members by consent	When eligible

Multi-entity accounting	$2K-5K/yr	When revenue grows
VC investment	No retained asset base yet	If licensing revenue materializes